Today, electronics manufacturing and software industries are the best value creators in the world of manufacturing and development. These industries are promoted by iconic technology entrepreneurs and only need an enabling environment from governments. The top companies dominate the world of electronics manufacturing and software development and employ the best brains. The type of interventions and support offered in NPSP might help some small enterprises to write software for local use. This is important but any hope that such enterprises can produce world-beating software products would be misplaced.

Policies to Promote IT Services

IT services are business services performed from a remote location or by stationing the personnel of the IT services company in the premises of the outsourcing company. We captured the opportunity offered by fast and cheaper data transmission over distances, which allowed business services to be delivered in the US and other countries by IT companies located in India.

India's cheaper and educated workforce provided the killer advantage. Many new technocrat entrepreneurs helped seize this moment for India, such as Infosys and HCL Technologies. Some traditional economy companies—TCS and Wipro, for example—also diversified into the IT services space.

The government created the right policy environment for this success. The software technology parks set up provided faster data transmission facility, the biggest differential for establishing successful enterprises, as well as other technological infrastructural services like data storage facilities. One big fiscal concession was income-tax profit exemption.

These policies were adequate to empower Indian entrepreneurs to set up world-class companies and capture one-third of the global business for the country.